2026 Tile Shield Insurance:

AI Implementation Proposal

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Table of Contents

01 **The Opportunity**

Canada's AI adoption curve and why the risk is unpriced

02 **TSI's Position**

Company overview and financial readiness in the present market

03 **Business Recommendation by Line**

Deeper Look into individual product lines

04 **The AI Risk Landscape**

Failure-type analysis and what's insurable today

05 **Our Strategic Proposal**

Market entry, phased distribution, and the reinsurance structure

01

The Opportunity

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A market being born.

12.2%

That's the share of Canadian firms that used AI to produce goods or deliver services in 2025, double the 6.1% from just one year earlier. Another 14.5% plan to adopt within the next twelve months.

$600 Billion

This is the size of estimated AI economy globally in 2026 and is growing fast! Every firm adopting AI is TSI’s potential client.

The Risk

The question is whether TSI writes the coverage or watches a competitor do it first.

In the era where AI is quickly becoming ubiquitous, how can TSI safely enter this market?

02

TSI's Position

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TSI’s Background

A mid-sized Canadian P&C insurer whose main clients are SMEs. It has 5 different lines of businesses with total earned premium of $834.2M in 2025

Evaluation of TSI's Financial

01

Strong, improving core profitability

Technology Products Liability surged from ~1% margin (2021) to 8%+ (2025), with E&O steady in the 2-4% range and trending up.

02

Stable anchors, one watch-item

Commercial General Liability and Commercial Auto remain mature 4-5% earners anchoring the balance sheet, while Cyber Liability is the outlier, eroding margins turning slightly negative in the 2026 projection.

03

Bottom line

TSI is evaluating new risk from a position of financial strength with transferable underwriting expertise.

Assumptions

The following assumptions were used to make projection calculations:

- **Profit is estimated through the following formula:**
  Profit = (Earned Premium) – (Incurred Losses) – (Operating Expenses)

- **Total Volume of Business:**
  Volume = (Exposure) * (Average Severity)

- **Number of AI incidents:**
  AI incidents in the general market scale proportionally to the dataset's

Interest rates were not taken into consideration

03

Business Recommendation by Line

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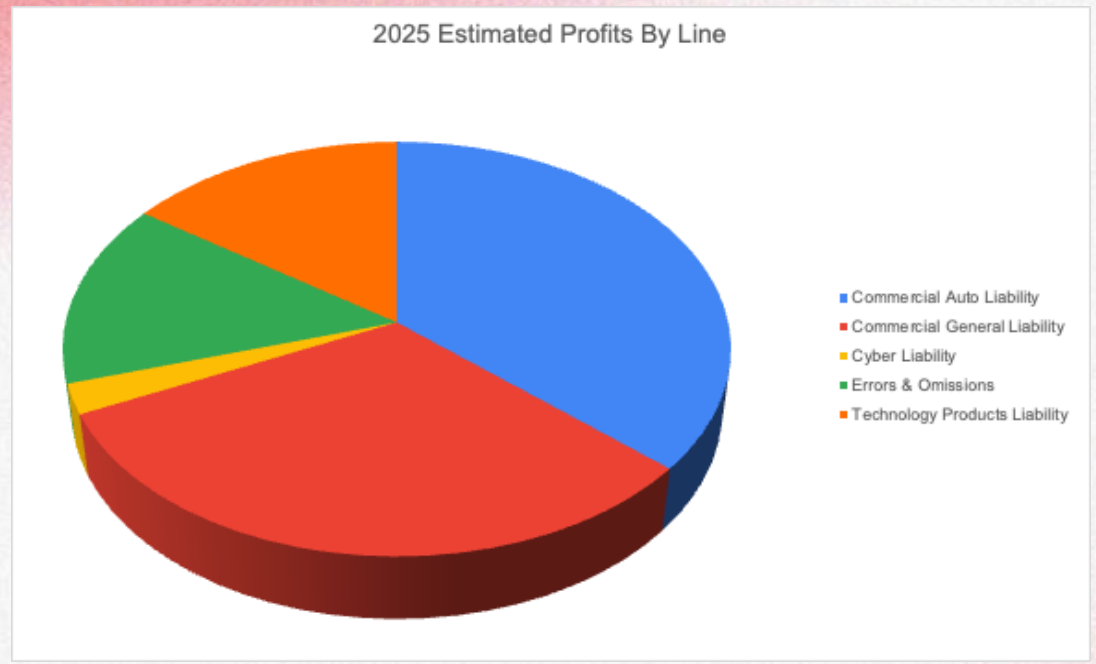
TSI’s Risk Portfolio

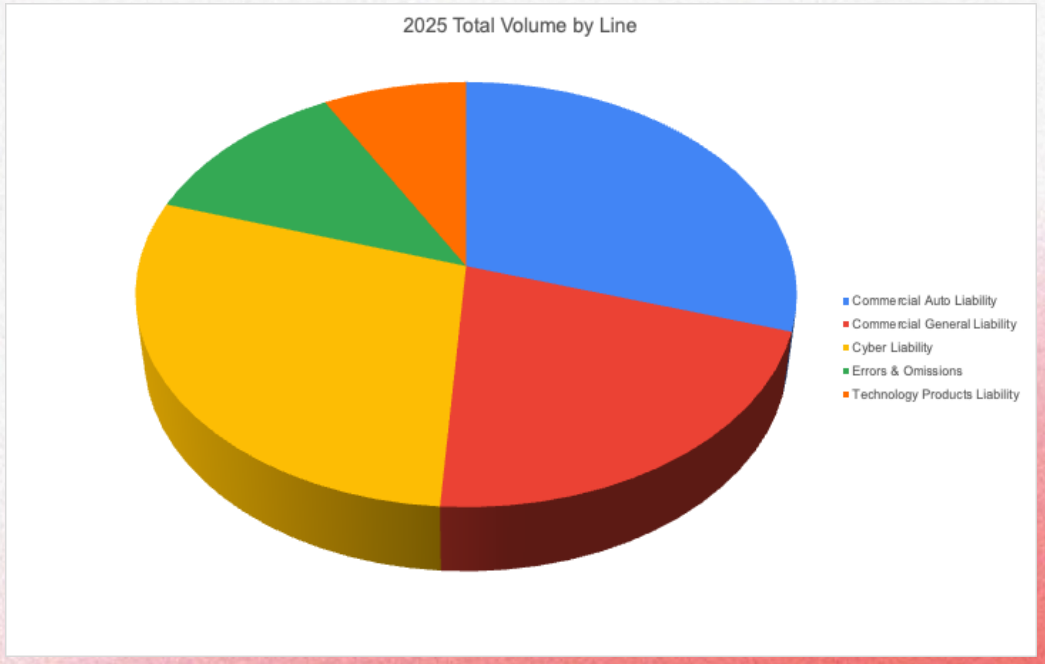
Executive Overview

- **Core Drivers:** Commercial Auto/General and Cyber Liability make up ~80% of TSI’s business volume and drive more than 65% of total profits.
- **Key Vulnerability:** Cyber Liability represents significant volume (28%) but faces declining margins, projected to turn unprofitable.

TSI’s Business Volume Percentage (2025)

Commercial Auto Liability	29.88%
Commercial General Liability	21.22%
Cyber Liability	28.87%
Errors & Omissions	12.04%
Technology Products Liability	7.99%

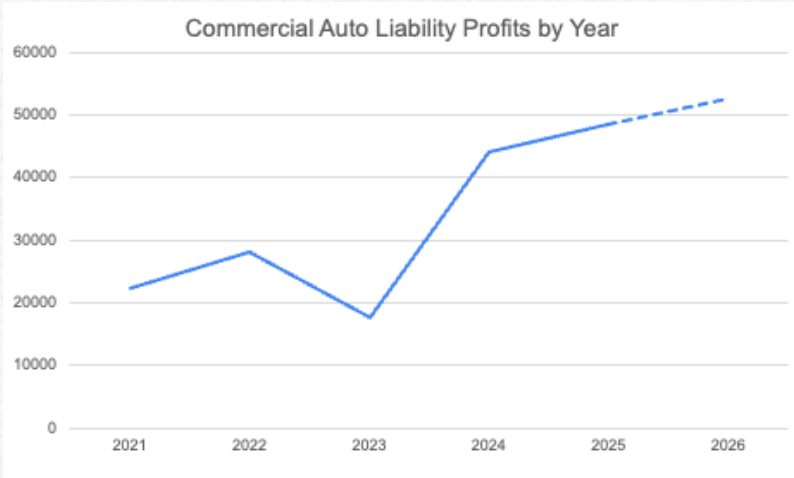




The Core: Commercial Liabilities

Commercial Auto & General Liability

- **Commercial Auto:** Highly profitable and trending upward but rising claim severity requires product repricing to protect margins.
- **General Liability:** Premiums lack correlation with exposure, which signal improper pricing structure/lackluster underwriting.
- **Action Items:** Conduct deeper underwriting risk reviews and explore reinsurance to cap downside exposure over the next few years.





	Projection	Correlation
Exposure	9571	0.900
Claim_Frequency	0.165114678	0.697
Earned_Premium	345553.67	0.814
Claim_Count	1572.2	0.726
Incurred_Losses	206552.14	0.817
Average_Severity	135.0996862	0.817
Operating_Expenses	86388.42	0.814

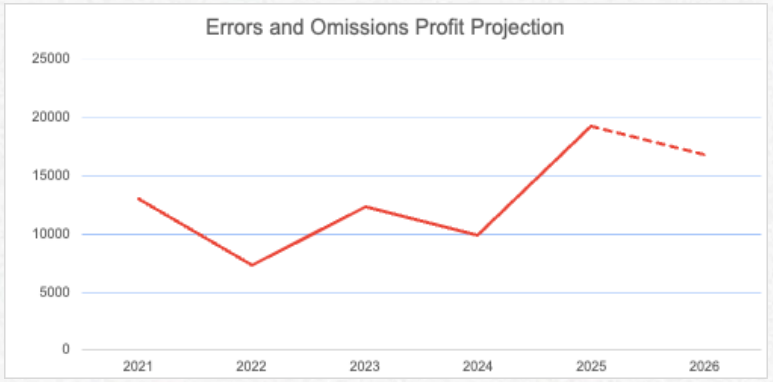
	Projection	Correlation
Exposure	12251.6	0.270
Claim_Frequency	0.121453906	0.201
Earned_Premium	194487.9	0.592
Claim_Count	1486.9	0.712
Incurred_Losses	108140.48	0.549
Average_Severity	72.6287042	0.708
Operating_Expenses	42787.35	0.592

The Strengths: E&O and Tech Product Liabilities

E&O & Technology Products

- **Performance:** Strong financial health, steady business expansion, and consistently rising profits.
- **Outlook:** Serves as a solid foundation for TSI's near-term growth.
- **Action Items:** Maintain growth monitoring while closely tracking high severity variance in the Technology Products line.

	Projected Value	Correlation
Exposure	5271.2	0.994
Claim_Frequency	0.118542437	0.095
Earned_Premium	109086.37	0.838
Claim_Count	625.7	0.962
Incurred_Losses	65007.06	0.888
Average_Severity	104.8155817	0.702
Operating_Expenses	27271.55	0.838



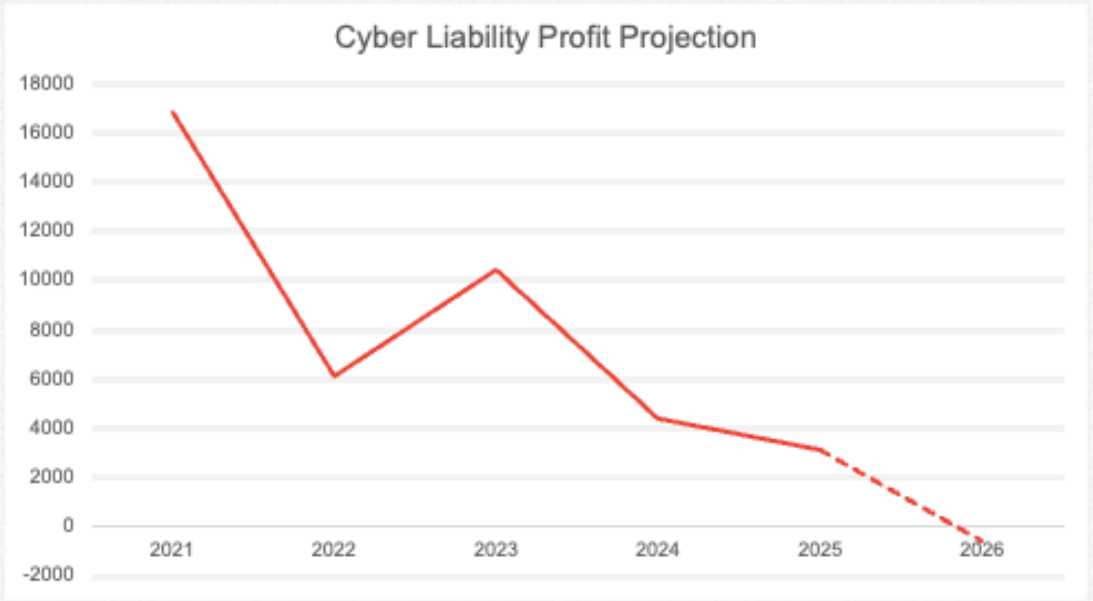
	Projected Value	Correlation
Exposure	1518.6	0.969
Claim_Frequency	0.171540432	0.012
Earned_Premium	116793.73	0.877
Claim_Count	259.6	0.869
Incurred_Losses	59472.42	0.834
Average_Severity	227.290072	0.267
Operating_Expenses	29198.38	0.877



The Weakness: Cyber Liability

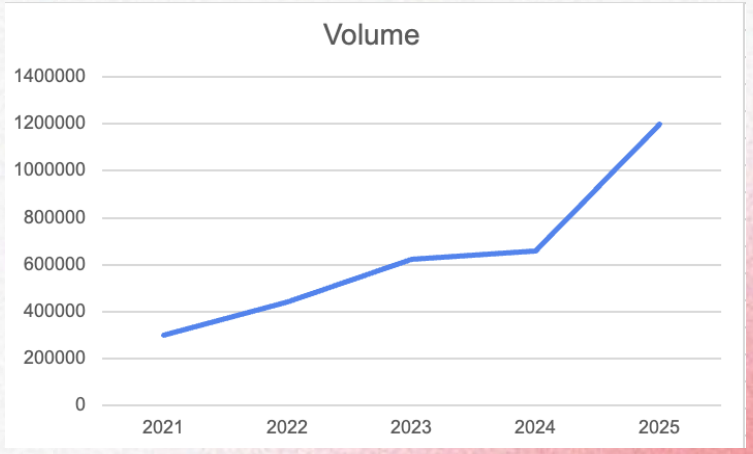
Cyber Liability (Critical Priority)

- **Current Trend:** Rapid volume growth (~500 new policies annually) alongside stagnant premium revenue is diluting margins, with losses projected for 2026.
- **Core Issue:** Pricing models have failed to keep pace with the risk profile of incoming business.
- **Action Items:** Restructure pricing models, realign policy rates with risk exposure, and focus the next operational cycle on stabilizing profitability.



	Projected Value		Correlation
Exposure		4502.1	0.993
Claim_Frequency		5.783%	0.703
Earned_Premium	$	146,956.87	0.480
Claim_Count		375.9	0.041
Incurred_Losses	$	106,369.21	0.683
Average_Severity	$	295.38	0.808
Operating_Expenses	$	41,147.91	0.480

Year	2026
Estimated Profit	-560.25
Estimated NAR	1329826.032
Profit Margin	-0.04%





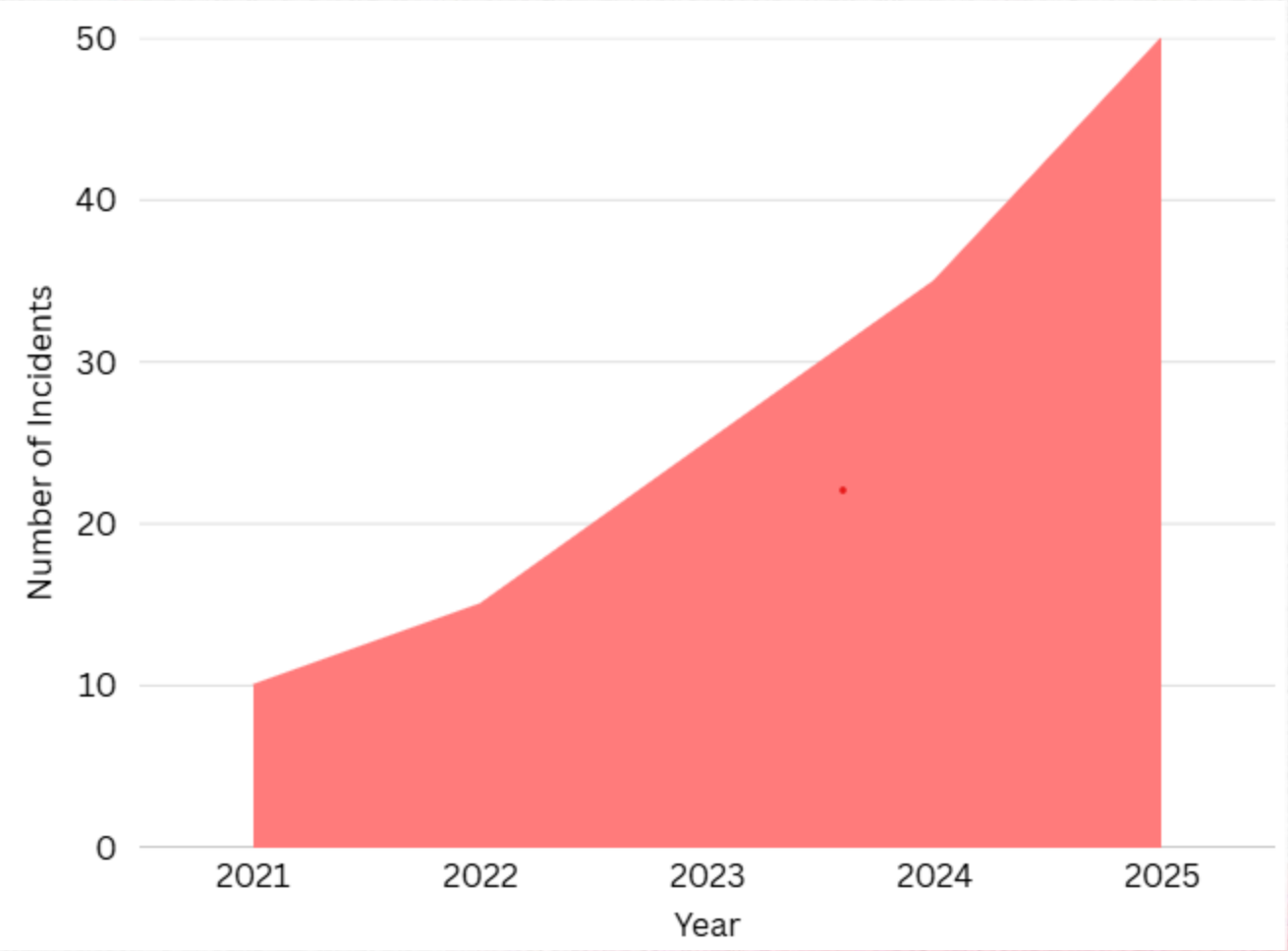
Premium/Vol decreases while volume Increases, increasing overall risk.

04

The AI Risk Landscape

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AI Incident Volume over Time



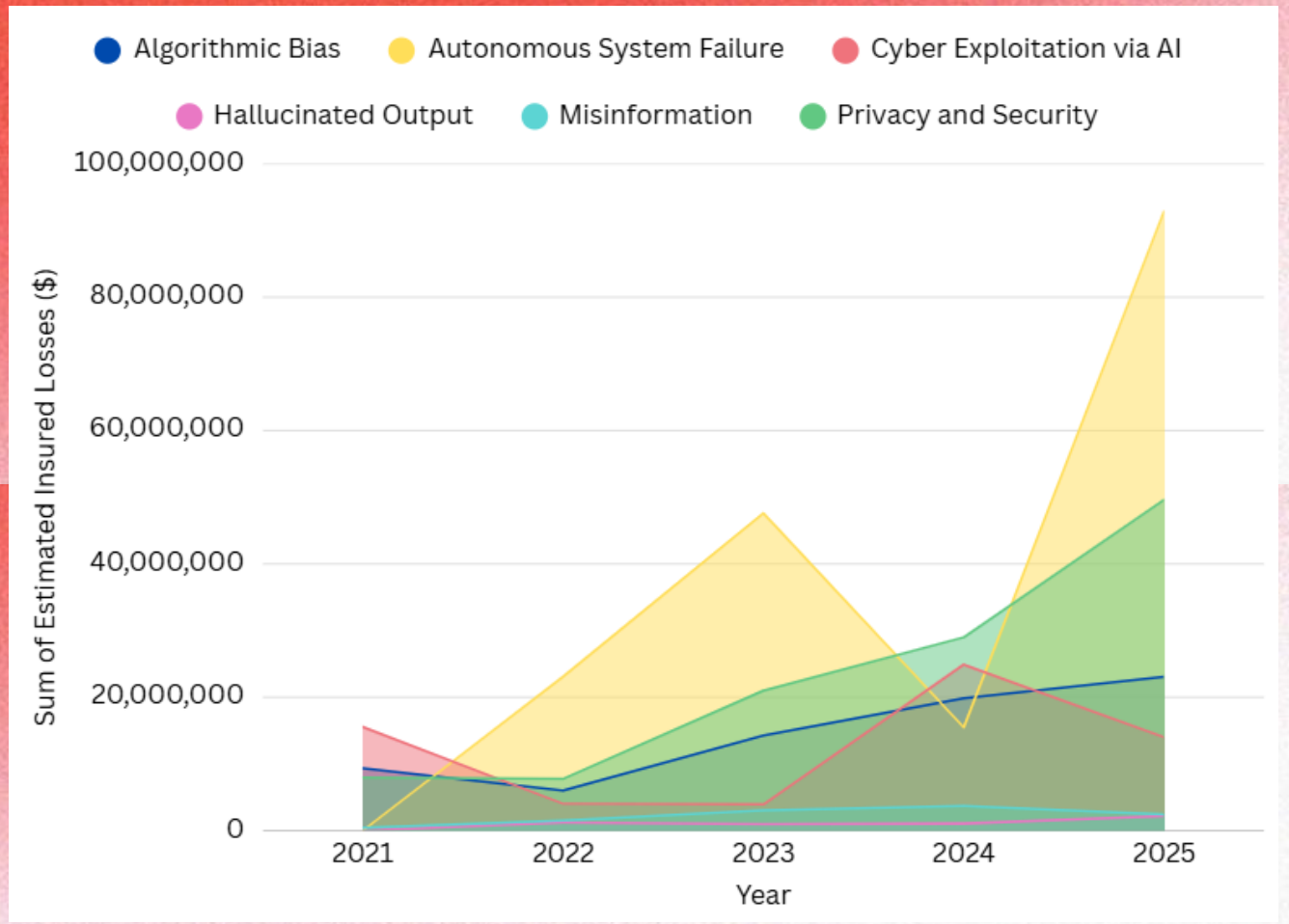
5X

The number of AI-related incidents has increased by 5 times in five years, a rapidly growing source of concern for businesses

Year	2021	2022	2023	2024	2025
Volume	10	15	25	35	50
YoY	-	+50%	+67%	+40%	+43%

Loss by Failure Type

By comparing the sum of estimated insured losses by failure type over time, riskier failure types can be identified and avoided



Hallucinated output and misinformation produce losses on the low-end, while at the top-end, autonomous system failure and privacy and security incidents are a different animal entirely. The 2025 spike in autonomous system losses indicate that these are highly volatile events with high severity, creating real tail risk

Frequency vs. Severity split

Failure Type	Count	Total Loss	Avg Loss	Median Loss
Autonomous System Failure	9	$179.1M	$19.9M	$16.5M
Privacy and Security	28	$115.4M	$4.1M	$4.1M
Algorithmic Bias	26	$72.6M	$2.8M	$2.5M
Cyber Exploitation Via AI	17	$62.4M	$3.7M	$3.6M
Misinformation	19	$11.1M	$0.59M	$0.65M
Hallucinated Output	36	$5.5M	$0.15M	$0.16M

- Autonomous System Failure incidents average $19.9M each, more than 130x the average Hallucinated Output claim ($152K)
- Hallucinated Output is also the most frequent failure type but the least severe (high-frequency/low-severity risk) which can be priced with a stable frequency-severity model
- Autonomous System Failures are comparatively rare but capable of losses large enough to dominate a whole year's portfolio result which confirms it as a classic tail risk

Human Oversight

Failure Type	Avg Loss (No Oversight)	Avg Loss (With Oversight)
Autonomous System Failure	$24.1M	$14.7M
Privacy and Security	$5.1M	$3.0M
Algorithmic Bias	$4.2M	$3.2M
Cyber Exploitation Via AI	$3.4M	$2.3M
Misinformation	$0.74M	$0.25M
Hallucinated Output	$0.16M	$0.15M

- Average loss $4.23M (No human oversight) vs. average loss $2.40M (With human oversight)
- 43% average loss reduction, consistent across every failure type, and largest in the riskiest categories

- TSI could price a meaningful discount or require oversight controls as an underwriting condition of coverage

05

Our Strategic Proposal

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Strategic Breakdown

Standalone AI Liability Products

- Creates new growth opportunity
  - An early move will build expertise and establish a market presence.
  - If TSI does not develop AI capabilities, its existing business may actually become less relevant as clients adopt AI.
- Builds Proprietary AI claims data
  - By entering the market now, TSI can begin collecting data on claim frequency, claim severity, exposure, industry, etc.
  - Over time, this data will help TSI with better pricing models and better underwriting approaches.
- Segmenting risk by failure type
  - Different AI failures have dramatically different loss characteristics. For example, Hallucination has an average loss of $152K , while Misinformation $583K, and cyber exploitation has $3.7M, etc.

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Disadvantages of this approach

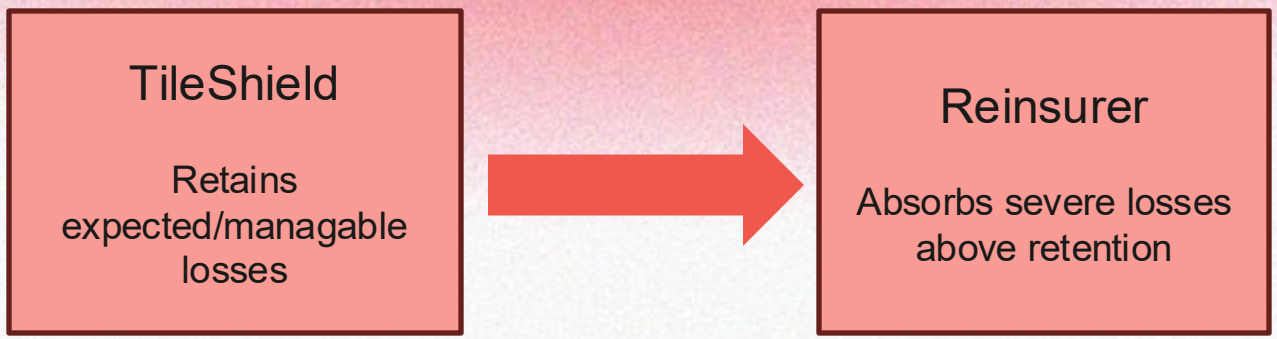
- Capital and operational requirements
  - A standalone product means TSI explicitly taking on a new risk class
  - Will need new underwriting guidelines, claims expertise, pricing models, etc.
- Regulatory uncertainty
  - As the adoption of AI in workforce rises, AI regulations and legal standards are still evolving.
- Limited historical data
  - Pricing a product without knowing the underlying distribution, possible to underestimate frequency, severity, correlation, legal costs, etc.
- Tail Risk
  - Autonomous system failures demonstrate that some AI risks produce extremely severe losses. Insuring these claims is dangerous for a mid-size company like TileShield.

Controlled AI Market Entry

- Reinsurance Support
  - One of the key pieces of information we lack for pricing AI products is the claim frequencies of these AI claims. TSI can leverage a reinsurer's (like MunichRe) broader industry data and underwriting expertise to support initial pricing. While transferring a portion of the loss exposure through reinsurance.
- Selectively Underwrite Failure Types
  - Autonomous System Failure exhibits significantly higher claim severity, creating substantial tail risk.
  - Given TSI's limited AI claims experience, retaining this exposure could create significant capital and pricing uncertainty.
  - Initially exclude Autonomous System Failure coverage while TSI develops sufficient experience.
- Strengthen underwriting requirements
  - Human oversight of AI decisions
  - Testing before deployment
  - Documentation/audit trails

Reinsurer to support pricing and risk transfer

- Leverage the reinsurer's broader industry data and underwriting experience to improve initial AI risk pricing.
- Transfers a portion of AI losses to the reinsurer, limiting exposure to severe and unpredictable claims.
- Reduces the impact of large claims on TileShield's balance sheet, allowing for controlled market entry
- Provides external benchmarking while the TileShield builds its own AI claims experience and pricing over time.



Summary

TSI is ready to lead this AI market

- **The Situation:** With AI adoption growing among businesses in Canada, and with TSI's current position on the market, the business is poised to take a calculated leap into this emerging sector
- **The Move:** Launch a standalone AI liability product (Option A), reinsured through Munich Re, initially excluding the autonomous system failure type.
- **The Goal:** Become the new standard for insurers on this growing AI market, acquiring a bigger market share

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Thank You